Brazil Macro Monthly

Agriculture boosts GDP, cost-push deflation reinforces rate cuts ahead

- Persistent pressures on prices and the labor market reinforce restrictive interest rates for longer in advanced economies. In China, the rebound in activity since its reopening has been slower than anticipated;
- In Brazil, economic activity grew above expectations in 1Q, boosted by agricultural production. Therefore, we raised our projection for 2023 GDP growth, to 2.2% from 1.4%. Our estimate for 2024 remains at 1.0%;
- The new fiscal framework was improved in Congress but allowed for greater expenditure growth for 2024. We expect a deficit of 0.9% and 0.7% of GDP for the public sector in 2023 and 2024, respectively;
- We recently revised our inflation forecast to 5.4% from 6.2% for 2023; and to 4.7% from 5.0% for 2024. The May mid-month IPCA-15 brought encouraging signs, while falling wholesale prices point to further disinflation for consumer prices throughout the year;
- The BRL has strengthened recently, amid still high volatility. We forecast BRL/USD 5.00 YE 2023 and BRL/USD 5.15 YE 2024. The external accounts remain solid, with emphasis on the rising trade balance;
- We see the Central Bank beginning a gradual easing cycle in August, reaching 11.00% by mid-2024. Expansionary bias from fiscal policy implies limited room for interest rate cuts.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.2	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.6	9.2
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	5.4	4.7
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	12.00	11.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.00	5.15
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.2	-0.9
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.7
Gross debt (% GDP)	74.3	86.9	78.8	73.5	75.9	78.7
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	73.0	64.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.5	358.1
Imports (USD Bn)	185.9	158.8	219.4	272.7	287.5	293.6
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.9	-2.2
FDI (USD Bn)	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.7	3.4
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.143	2.216
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.609	11.190

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Calm before the storm?

Brazilian financial markets have been performing well in recent weeks. The exchange rate strengthened to 5.00 reais per dollar and is hovering around this level with relatively low volatility. The Ibovespa reached 110k points for the first time in four months, and long-term interest rates dropped some 120 bps in the second quarter.

Do fundaments back this improvement, or are we living a “calm-before-the-storm” moment?

We have been arguing that the global environment became more favorable for Brazilian assets. We keep this optimistic view. The monetary tightening cycles in DMs are approaching their end, and commodity prices remain relatively high. We see the dollar weakening somewhat in the coming months, benefiting other DMs and commodity currencies.

This positive environment should continue ahead, though political and geopolitical risks need close monitoring. The sustainability of China´s economic recovery is also a risk for Brazil.

Domestically, recent news is also positive: growth forecasts have been revised up, while short-term inflation expectations have dropped. The Lower House approved the new fiscal framework, and the central bank has maintained its hawkish and independent speech.

There are reasons to believe that those positive developments could be short-lived. The upward revision in growth forecasts was mostly due to much better-than-expected agriculture output. Deflationary pressures are concentrated on volatile items like gasoline and meat. Fiscal policy will remain expansionary going forward even with the new framework, and political pressures on the Central Bank will only increase as Governor Campos´s mandate approaches its final year.

Still, it does not seem to be a rupture scenario for Brazil, neither externally nor domestically. It means that recent improvement in asset prices tends to be permanent, though it will not necessarily continue ahead.

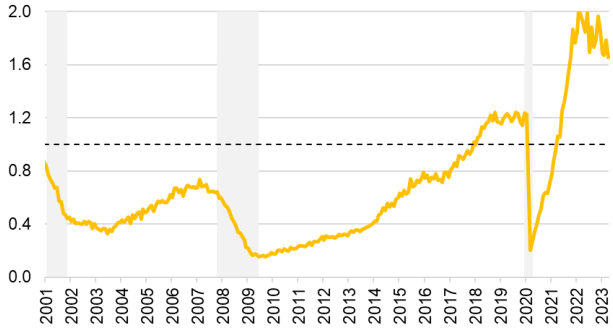
We recently revised our 2023 yearend forecast for the BRL to 5.00 reais per dollar (5.30 before). We continue to see the central bank beginning its easing cycle in August, though we recognize that so far, the monetary authority did not provide any signal that a rate cut is approaching.

Global backdrop: central banks to remain vigilant

Francisco Nobre

Latest data consistent with our call of no rate cuts in the US this year. Inflationary pressures persist, and the labor market remains tight, with 80% excess demand for workers. Since the reopening of the US economy post Covid, consumption has shifted strongly towards services, which typically require more workers. This is the main factor driving the tightness of the jobs market and inflationary pressures, primarily concentrated in the services category. In fact, economic activity has also been surprising to the upside, driven by the strength of this sector. Consequently, market bets have shifted towards higher rates for longer, moving closer to our call of the maintenance of the Fed Funds rate at current levels until yearend. Still, the possibility of another 25-bps hike cannot be ruled out, and policymakers are expected to remain data-driven.

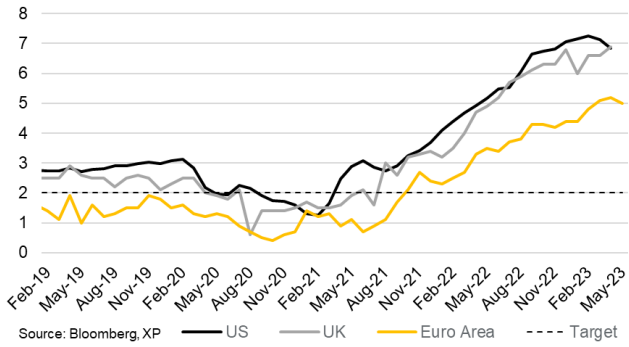
Tight US labor market amid excess demand for workers
JOLTS job openings/unemployed persons ratio (recession in grey)



Source: Bloomberg, XP

USD resilience amid easing tail risks and the expectations of high interest rates for longer. First, the fear that the recent banking turmoil could lead to a systematic issue is easing. In fact, bank deposits have started to rise again, showing that the fear of bank failure has abated. Second, markets have started to price higher rates for longer. Lastly, the US government has reached a deal to suspend the debt ceiling until 2025 while implementing spending restrictions for the current government. The agreement has ended a weeks-long political stand-off that risked an unprecedented default of the US government. These factors have driven the USD index to rebound in May, despite this year´s perspective of depreciation amid falling interest rates differentials against other developed economies. On the downside, with the debt ceiling suspended, the US Treasury will rebuild its cash balances and drain some USD 500 billion in liquidity from the private sector, which is expected to negatively impact asset prices.

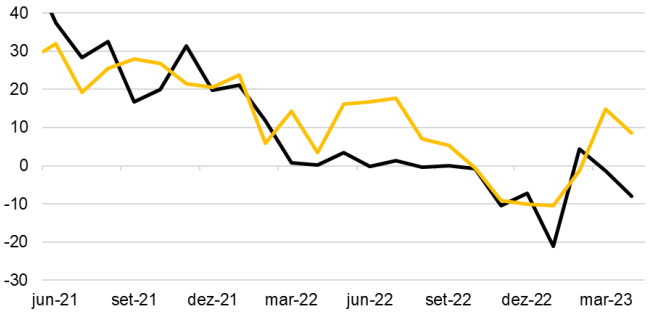
High services inflation keeps central banks pressured in advanced economies
Services CPI (12-month % change)



Source: Bloomberg, XP

In Europe, the tightening cycle is not over yet. The ECB has maintained a hawkish stance, and despite the May CPI data providing some relief, more evidence that inflation is converging towards the 2% target will be required before pausing the tightening cycle. In the United Kingdom, despite the not-so-hawkish stance from the BoE, the latest inflation data has surprised the Central Bank´s (pessimistic) expectations, and policymakers are unlikely to be able to defend the end of rate hikes. Higher rates in the region, along with the positive current account balance expected for this year, are likely to strengthen the euro against the dollar going forward.

China´s economic recovery not yet convincing
Exports and imports (USD billion, % y/y)



Source: Bloomberg, XP

Slower than expected economic recovery in China. Despite the recent marginal improvements in high-frequency economic data, China´s economic rebound is proving weaker than anticipated. Industrial production and retail activity have disappointed lately, and the property sector – China´s primary growth driven in recent years – remains weak. Personal consumption is expected to rebound strongly due to high pent-up demand and accumulated

savings, but it may not be enough to offset the weakness in other sectors. If this weakness persists, we believe the government will likely announce additional stimulus measures to ensure China achieves its 5% growth target for 2023.

BRAZIL: Agriculture boosts GDP, cost-push deflation reinforces rate cuts ahead

Economic Activity – we raised our 2023 GDP growth forecast to 2.2% from 1.4%

Rodolfo Margato

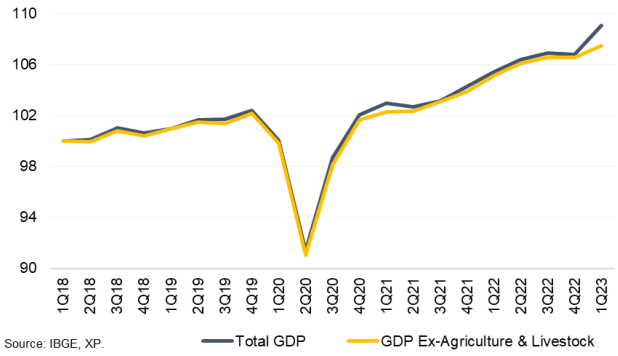
Brazil's GDP grew above expectations in 1Q, boosted by agricultural production. The domestic economy expanded by 1.9% QoQ in 1Q, above projections (XP: 1.4%; Street consensus: 1.2%). The stronger-than-anticipated performance stemmed mainly from the jump in the Agriculture and Livestock GDP. The primary sector skyrocketed around 22% QoQ last quarter, driven by the sharp increase in soybean output (the grain harvest will likely reach a new all-time high in 2023).

Economic activity should slow down throughout this year… We have seen a cooling local economy when excluding the contributions of sectors less sensitive to the economic cycle (agriculture, livestock, and mining industry as protagonists). For example, the manufacturing industry fell for the third consecutive quarter in 1Q, a trend that should not be reversed in the short term. Industrial output dropped more than expected in April, mostly due to significant declines in the categories of capital goods and durable consumer goods. Additionally, civil construction remains on a downward trajectory, while the services sector has been growing at a more moderate pace in the recent period. The dissipation of the "post-Covid" impulse, the worsening credit conditions, and the high indebtedness of families and companies weigh on domestic demand.

… albeit at a slower pace than initially thought. The increase in real household disposable income, in the wake of the resilient labor market and higher government cash transfers, supports consumption in the short term. In this regard, employment and income indicators were positive in April. The national jobless rate fell for the third straight month, to 8.3% from 8.0% (monthly seasonally adjusted estimates), whereas labor earnings continue to recover. Similarly, the Ministry of Labor's report (CAGED) showed a net creation of around 165,000 formal jobs in the moving quarter up to April. That is, the balance of job creation remains at high levels, despite the slowdown compared to March.

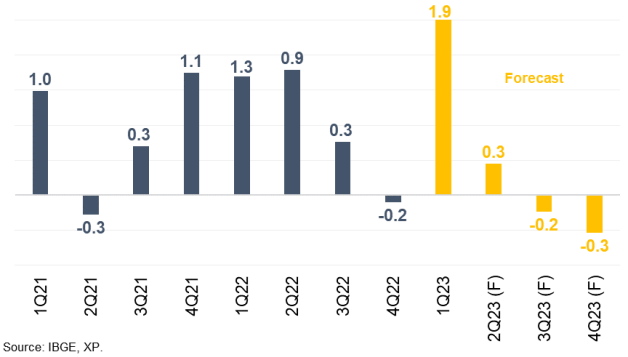
Therefore, we raised our projection for 2023 GDP growth, to 2.2% from 1.4%. The sharper-than-anticipated economic growth in 1Q and signs of further advance in 2Q (although at a modest pace, given the effect of the high base of comparison) support the upward revision to our base scenario for domestic activity.

Agriculture contributed significantly to the stronger-than-expected growth in 1Q23 GDP
Seasonally adjusted series. Base: 1Q18=100.



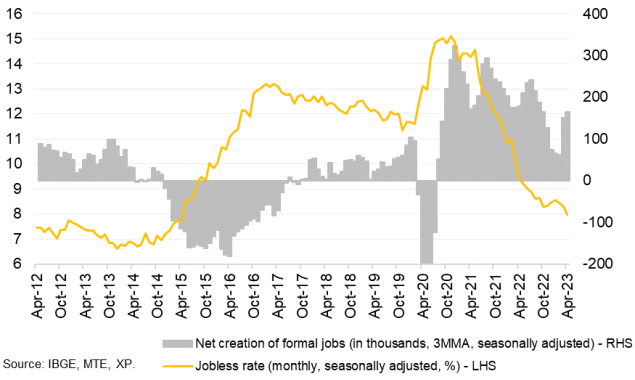
Source: IBGE, XP.

Economic activity is expected to slow down throughout this year, albeit at a slower pace than initially thought
% QoQ s.a



Source: IBGE, XP.

Labor market resilience supports household consumption in 2023



Source: IBGE, MTE, XP.

We continue to expect 2024 GDP to rise by 1%. Our scenario foresees moderate economic growth next year, in line with a slightly negative carry-over effect from late 2023 and the dissipation of the "post-Covid" and agricultural production shocks. Credit conditions should gradually improve in 2024, in line with the easing of monetary policy.

GDP Breakdown (annual change, %)	2020	2021	2022	2023 (F)	2024 (F)
Agriculture and Livestock	4.2	0.3	-1.7	**11.0**	**2.5**
Industry	-3.0	4.8	1.6	**0.7**	**0.6**
Services	-3.7	5.2	4.2	**1.8**	**1.1**
Total GDP	**-3.3**	**5.0**	**2.9**	**2.2**	**1.0**
Household Consumption	-4.6	3.7	4.3	**2.4**	**1.2**
Government Consumption	-3.7	3.5	1.5	**1.1**	**0.9**
Gross Fixed Capital Formation	-1.7	16.5	0.9	**-2.1**	**0.5**
Exports	-2.3	5.9	5.5	**4.0**	**1.7**
Imports (-)	-9.5	12.0	0.8	**1.5**	**1.0**

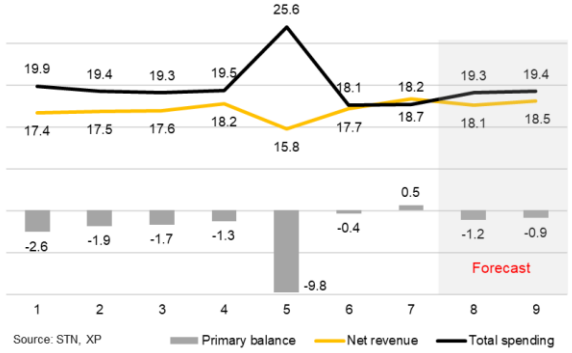
Source: IBGE, XP.

Public finance: The House approves the new fiscal framework, but primary balance remains far from its target

Tiago Sbardelotto

Recent results continue to show a slight deterioration. The consolidated public sector recorded a primary surplus of BRL 20.3 billion in April. On the breakdown, the central government and subnational governments had a surplus of BRL 16.9 billion and BRL 4.0 billion, respectively, while state-owned companies had a deficit of BRL 1.7 billion. Despite the surplus, April's outcome represents a drop of almost 50% in real terms compared to the same month last year. In turn, the 12 months accumulated surplus reached BRL 56.2 billion (0.6% of GDP), a drop of 0.9pp when compared to April 2022.

Central government should record deficits in 2023 and 2024
Net revenue, total spending and primary balance (% of GDP)



The central government should maintain a negative trajectory. We expect that the drop in commodity prices and the slowdown in economic activity will negatively affect tax collection in the coming months, more than offsetting the measures already announced by the government at the beginning of this year. On the expenditure side, the increase in the minimum wage and the readjustment for civil servants should start weighing from May onwards. As a result, we changed our primary result forecast from a deficit of BRL 119.6 billion (1.1% of GDP) to a deficit of BRL 122.9 billion (1.2% of GDP) in 2023. But if we consider the "pooling" effect (expenditures committed but not paid), which should be between BRL 20 billion and BRL 30 billion this year, **the deficit could be lower than BRL 100 billion (0.9% of GDP)**.

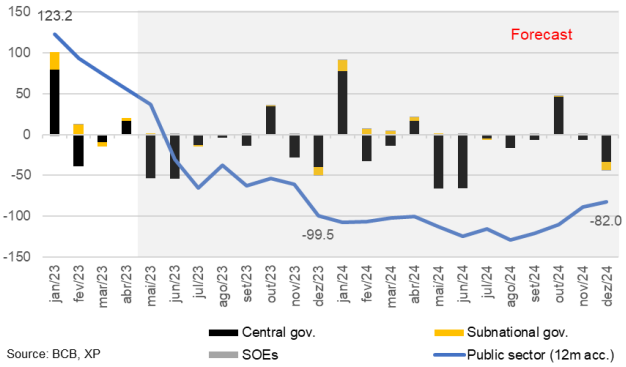
Measures included in our base scenario BRL billion

Package	Measure	2023	2024
January	Return of PIS/Cofins on financial revenues	0	0
	Exclusion of ICMS credits from PIS/Cofins base	30	52
	Return of PIS/Cofins on fuels	18	58
	Spontaneous reporting	2	0
	Litigation reduction	3	0
	PIS/Pasep Fund	26	0
March	Online bets taxation	0	5
	Exclusion of ICMS subsides from IRPJ/CSLL base	0	32
	E-commerce taxation	1	2
Other	Preços de Transferências	2	12
	Total	**82**	**161**

Source: XP, Ministry of Finance

The House approves the new fiscal framework. The Senate is the next step. Brazil's House of Representatives approved a new version that brought important changes in relation to the government's proposal. Namely, we highlight the inclusion of new expenditures in the limit, automatic triggers in case of non-compliance with the primary result target and a mandatory spending freeze. But the text allowed for greater growth in expenses for 2024, above what would be seen if the rule were applied this year, which could reach up to 2.5%.

Public sector to reach deficit in the coming months
Primary balance (BRL billion)



We expect a deficit of BRL 105.9 billion (0.9% of GDP) in 2024, revised from our estimate of BRL 109.1 billion (1.0% of GDP) in May's report. Despite a greater variation in expenses (2.5% above inflation compared to 1.6% in the previous projection), we included new revenue measures in our projection that more than offset this increase. We emphasize that the new fiscal framework determines the mandatory contingency of up to 25% of discretionary expenses, which could reduce the deficit to BRL

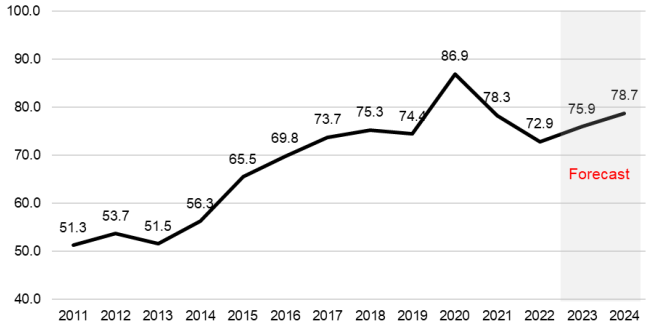
51.6 billion (0.5% of GDP), still far from the target of a neutral result.

For the public sector, we keep our estimate of a BRL 99.5 billion deficit (0.9%) in 2023. Although the central government shows a worsening trend in the short term, the regional governments performed above what we expected at the beginning of this year and the recent changes in the ICMS taxation (state-level VAT) on fuels should help in the recovery of their tax collection. **For 2024, we now estimate a deficit of BRL 82.0 billion (0.7% of GDP) from a deficit of BRL 80.6 billion (0.8% of GDP) in the previous month**.

No changes in the public debt path. We maintain our gross general government debt forecast ending 2023 and 2024 at 75.9% and 78.7%, respectively. It is worth mentioning that the new fiscal framework significantly reduced the risks of an unsustainable path for the public debt, but our projections continue to show that, in the absence of new tax collection measures, there will be no stabilization in the medium term.

After the fiscal framework, the tax reform is on the agenda. We expect the new fiscal framework to be definitively approved by the end of June. Next, the discussion on tax reform should gain momentum. The first news reports that VAT may be dual (federal and state), with different rates for some sectors, special regimes, and maintenance of part of the tax benefits. Although considered neutral in fiscal terms, the proposal is essential to expand the country's potential growth in the coming years.

No changes to government debt estimates
General Government Gross Debt (% of GDP)



Source: BCB, XP

Inflation – We reduced our inflation forecast for 2023 and 2024; wholesale prices indicate further disinflation throughout the year

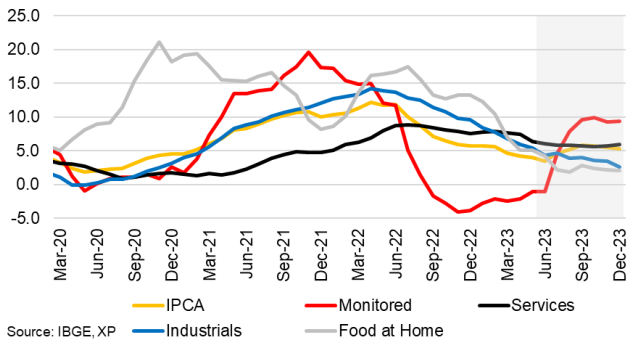
Alexandre Maluf

We revised our 2023 and 2024 exchange rate and inflation forecasts. For 2023 IPCA, we reduced our number to 5.4% from 6.2%. The downward revision to our forecast was driven by Petrobras´s decision to cut prices of gasoline, diesel and cooking gas on May 16, which we attribute as definitive, and is consistent with a more appreciated exchange rate and the current Brent prices. As a result, our forecast for monitored prices edged down to 9.3% from 11.1%.

We also reduced our projection for the 'food at home' group to 2.2% from 3.5%, reflecting the relevant drop in grains and proteins seen so far this year. For industrial goods, our forecast fell to 2.6% from 2.9%, because of a more appreciated average exchange rate. Finally, the Services group fell to 6.0% from 6.3%. For more details, see the full report (link).

The May IPCA-15 brought a positive message, after rising 0.51% compared to April, below the market expectations (0.64%) and our forecast (0.67%). It is worth mentioning that we consider this inflation reading to be the most encouraging published so far in 2023, given the widespread disinflation seen in its breakdown. We highlight the interannual deceleration of Services inflation (to

Services and monitored prices to add inflationary pressure by the end of the year
(IPCA - 12-month % change)



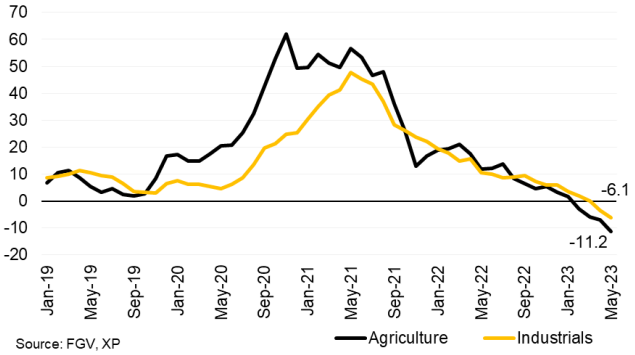
Source: IBGE, XP

6.5% in May from 7.4% in April), industrials (to 5.2% from 6.5%) and the core averages, which dropped to 6.8% from 7.5%. Considering the latter, the SAAR 3M measure edged down to 5.7% from 6.2%, still above the inflation target, but presenting a relevant monthly drop.

The dynamics of wholesale prices remain promising. We highlight the recent readings of the IPAs (Extended Producer Price Index), released by the Getúlio Vargas Foundation, which registered sharp annual deflation in agricultural and industrial components in May. Those figures are consistent with our recent inflation revision, as we expect a prominent decline in food and industrial goods throughout this year, as mentioned above. It is worth mentioning that within 'market-set prices', the Services line remains the main obstacle to Brazilian disinflation.

We also reduced our 2024 IPCA forecast, to 4.7% from 5.0%, on the heels of lower inflationary inertia from 2023 and stronger FX. We see increasing chances that the National Monetary Council – at its June meeting – will opt for a longer inflation convergence, not changing the target itself. In practice, such a decision would allow for higher inflation at the end of 2024.

Producer prices remain on a downward path and indicate disinflation ahead
(12-month % change)



Source: FGV, XP

IPCA Groups (annual change, %)	2023		2024	
	Prior	Current	Prior	Current
Monitored prices	11.1	9.3	7.0	6.0
Market-set prices	4.6	4.0	4.4	4.3
Food at home	3.5	2.0	4.0	3.7
Industrials	2.9	2.6	4.6	4.1
Services	6.3	5.9	4.5	4.6
IPCA	**6.2**	**5.4**	**5.0**	**4.7**

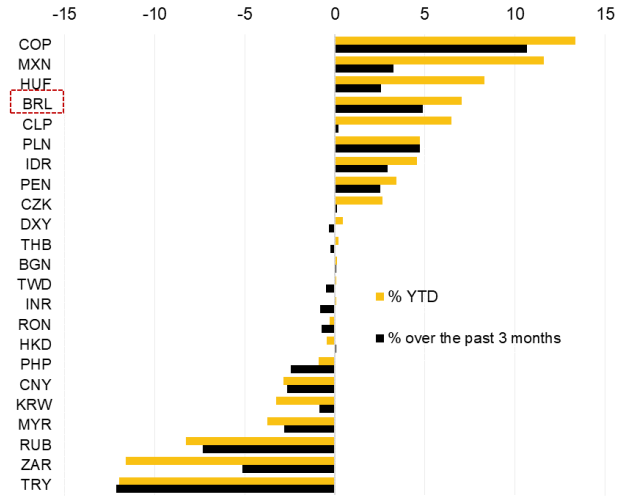
External Accounts – exchange rate appreciation and solid balance of payments

Rodolfo Margato

We have revised our exchange rate forecasts downwards, albeit moderately. As announced two weeks ago, we have adjusted our expectations to BRL/USD 5.00 YE 2023 and BRL/USD 5.15 YE 2024 (from BRL/USD 5.30 and BRL/USD 5.40, respectively). For more information, please click here. In a nutshell, the US dollar should continue to weaken, reflecting the likely end of the Fed's monetary tightening and an imminent recession – albeit moderate – in the US. Furthermore, commodity prices are expected to stabilize following some downward correction in recent weeks (mainly for agricultural goods). On the domestic front, uncertainties persist over the conduct of economic policy, although the so-called "new fiscal framework" allows for some reduction in risk premium.

Brazilian external accounts remain solid, with emphasis on the rising trade balance. Despite lower-than-expected results in April, the balance of payments has been showing positive signs. The trade balance continues to rise, on the heels of strong exports – especially of primary goods – and the slowdown in imports. Thus, we continue to anticipate that the current account deficit will narrow to USD 40.0 billion at the end of 2023 (1.9% of GDP), after having reached USD 55.7 billion at the end of 2022 (2.9% of GDP) and USD 54.2 billion in the 12-month rolling sum up to April (2.8% of GDP). Meanwhile, net inflows in FDI – Foreign Direct Investment – is expected to remain at high levels, despite losing steam compared to 2022. We project USD 80.0 billion this year (3.7% of GDP), not far from the amounts of USD 90.6 billion last year (4.8% of GDP) and USD 82.0 billion considering the 12-month rolling sum through April.

Brazilian Real appreciated in May and reached 7% gains against USD this year
FX variation (%)



Positive variation = FX appreciation
Negative variation = FX depreciation

Source: Bloomberg, XP

Monetary Policy – Gradual and (likely) limited easing cycle ahead

Caio Megale

We see reasons for monetary policy to be somewhat less restrictive ahead. i) Producer prices are falling in many countries, including Brazil (FGV's Producer Price Index-M inflation is at -7.54% year over year); ii) the domestic credit market is cooling down and delinquency rates are on the rise, particularly for companies; iii) the exchange rate is 5% stronger year to date; iv) inflation expectations (according to BCB's Focus Survey) edged down for 2023 and stop rising for 2024; v) the Minister of Finance has been signaling to be in favor of keeping the inflation target in 3.0%, though formally extending the convergency horizon seems likely.

Thus, we see the Central Bank beginning an easing cycle in 2H23. Our baseline scenario considers a 25-bps cut in August, followed by sequential 50-bps cuts until the Selic rate reaches 11.00% by mid-2024. The Central Bank may opt to wait a bit more (until September) before start cutting rates, to be more confident that the inflation outlook has indeed improved.

However, expansionary bias from fiscal policy implies limited room for interest rate cuts. As pointed out in the Fiscal session above, the new framework allows expenditure to grow some 2.5% in 2024 and 2025, after the 20% increase between 2021 and 2023. It tends to keep final demand and debt dynamics under pressure, which would be consistent with a high interest rate scenario for the years to come.

XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.2	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.6	9.2
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	5.4	4.7
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	12.00	11.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.00	5.15
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.2	-0.9
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.7
Gross debt (% GDP)	74.3	86.9	78.8	73.5	75.9	78.7
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	73.0	64.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.5	358.1
Imports (USD Bn)	185.9	158.8	219.4	272.7	287.5	293.6
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.9	-2.2
FDI (USD Bn)	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.7	3.4
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.143	2.216
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.609	11.190

Source: IBGE, BCB, Bloomberg, XP.

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